



doing it is to reframe past decisions. Assume that you can reverse history and start anew. For example, you bought 1000 shares of Sterlite Optic at Rs. 400 a share. The current price is Rs. 55. Ask yourself whether you would buy Sterlite Optic at the current price. If your answer is no, it is time for you to sell your holding. If it is yes and you believe that the lower price is a bargain, hold on and buy more.

Reframe Losses as Gains

We need to evaluate our investments individually with an eye on our financial situation. If there is a loss look at the positive side. You will be able to adjust it against your gains as it is tax deductible. By viewing your potential loss as a gain (gain being the lower amount of taxes you will pay) you master your loss aversion.

Segregate Gains and Integrate Losses

To multiply your happiness, divide your pleasures. Imagine the joy of receiving Rs. 15,000 one week and another Rs. 10,000 next week rather than getting Rs. 25,000 at one time. Of course you cannot plan your gifts but you can plan some of life's windfalls and space them out. By the same logic since pain becomes terrifying over time it is better to integrate your losses. When you visit the dentist and have many cavities to be filled do it in one sitting. Don't subject yourself to multiple traumas. Similarly when you have to pay your taxes pay them in one go rather than in instalments. Weber's law implies that the pain of two moderately bad experiences will typically exceed the pain of experiencing both at one time. Use Weber's law to your advantage.

Pay Less Attention to Your Investments

This is difficult when market volatility is on the rise. The point is the more frequently we check our investments the more we feel the urge to react to the ups and downs of the markets. For investors who do not trade professionally. A six-month review of a portfolio is frequent enough to make necessary adjustments in asset allocation. Yes, one might miss a market dip or a rise but it is a good trade off against peace of mind.